

Mexico

Federal Economic Competition Commission

The Market Intelligence Unit (MIU) of the Investigative Authority (IA) was launched in 2014 as part of the efforts of the renewed Mexican Federal Economic Competition Commission (COFECE) to enhance and strengthen its enforcement capabilities.

Among its main tasks, the Intelligence Unit detects potential anticompetitive conduct and competition issues in the Mexican market. It also supports the Cartel, Unilateral Conducts, and the Regulated Markets Directorates by providing insights resulting from the collection and analysis of key information from markets, as well as undertakings. Furthermore, it conducts the forensic acquisition of digital information during dawn raids and processes economic and digital data from investigations to aid substantiate cases.

The activities of the MIU are inherently based on the use of technology. This is largely the reason behind COFECE's continuous and substantial investment in the expansion of infrastructure, resources, and staff. In this regard, most of the investment has been focused on broadening IT forensic capabilities, expanding computing capacity, and cloud-based infrastructure. In terms of software, the Intelligence Unit uses mainly open-source solutions that facilitate the creation of specific in-house analytical applications (such as analytical algorithms programmed in R or Python). Another important financing element has been destined to obtain secure storage systems that allow for the safe and independent managing of data.

On its part, the Intelligence team relies on highly multidisciplinary profiles, with a staff that varies from 20 to 25 members (which started at four in 2014). Approximately half of them focus on screenings and economic analysis, whereas the rest develop forensics and other functions. Additionally, because of the complexities the area deals with, it is the unit with the highest level of academic degrees in the IA, as almost half of its members hold at least a Master's degree, and above with varied specialties such as Security, Data, Economy, IT and Intelligence.

In this line of ideas, COFECE has sought to develop sufficient capabilities to explore and further understand whether competition concerns that have been referred to in the literature about technology and competition happen in practice. In this regard, since 2020, the MIU has developed a "DataLab project" which uses specialized infrastructure and an arrangement of several tools that facilitate virtual environments, big data operations as well as the design of algorithms to explore the functioning of specific technologies and assess their potential competition impacts.

The "DataLab project" will allow us to understand how disruptive technologies work. For example, it can be used for understanding blockchain, exploring how the algorithms of search engines work, assessing situations of algorithmic pricing, as

well as experimenting with Artificial Intelligence and Machine Learning Techniques. We expect that the early results of the “DataLab project” could become evident as early as 2022, with some preliminary observations that result from the exploitation of these disruptive technologies.

In addition to this exploratory approach, the “DataLab project” is designed to provide other departments of the IA with access to powerful infrastructure and technological solutions to solve additional operational requirements, such as processing large volumes of information collected as part of ongoing investigations, web scraping, text mining or even designing analytical routines and algorithms for complex data-intensive cases.

Before the implementation of the “DataLab project,” the Intelligence Directorate also sought to develop tools and projects based on the application of technology to enhance the detection and investigation of potentially anticompetitive conduct. This has included the design of an in-house public procurement screening tool which has also been shared with fellow competition agencies and has yielded preliminary promising results. Moreover, we have also developed tools that facilitate the analysis of energy markets based on the use of georeferencing and data visualization.

It is important to consider that our objective to enhance our capabilities has also been applicable to digital forensics. Since 2014, we have continuously invested in the expansion of our IT forensics infrastructure, tools, and staff, to be able to collect direct evidence of potential anticompetitive behavior. Some of the projects in this field have even included the design of specialized infrastructure arrangements and techniques to acquire remote information, to even exploring the adoption of Artificial Intelligence in forensic analysis by adopting techniques such as predictive coding.

In short, the relevance of technology for competition enforcement has become evident for COFECE. It is not only about being able to understand how disruptive technologies work but also to fulfill our legal mandate effectively and efficiently by drawing from resources and tools that facilitate our activities and enhance our probability of success. We are convinced that competition enforcers must adopt and include technology as part of their activities.